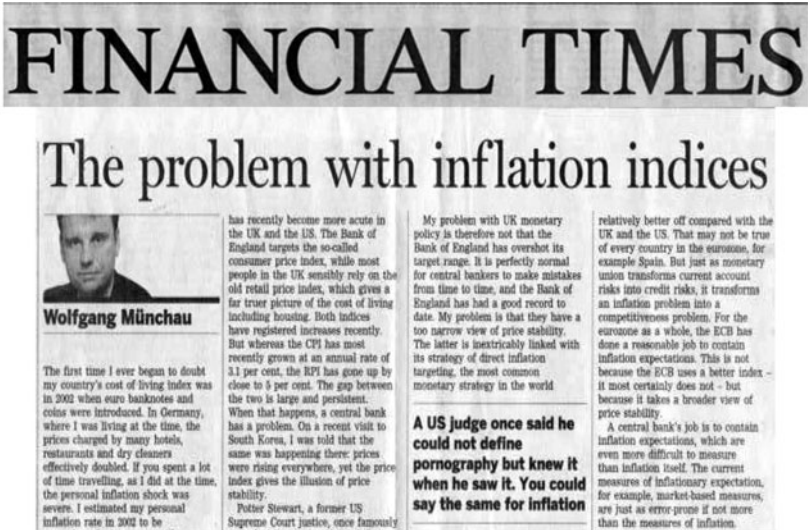


for the elderly. They called it the CPI-E and it is meant to better capture the inflation rate that is unique for Americans age 62 and older, the group that comprises roughly 17 percent of the U.S. population (see Figure 5.1).



Source: Financial Times, May 14, 2007

Figure 5.1 CPI isn't perfect, accurate, or relevant...to you.

Why would inflation be different for the elderly? In fact, how does inflation get measured, at all? Let me back up a bit. The answer to these questions comes down to our spending habits. Boiled down to its essence, statisticians measure inflation partially based on how we spend our money.

Basically, they measure price changes for hundreds of categories and items each month. Some of these items increase in price while others decline or stay the same. The weights placed on the different categories and items reflect our average spending habits. If the typical American spends three times more money on banana products than avocado products, then the index weight placed on bananas is three times as high as the index weight placed on avocados. This is regardless of whether you personally are allergic to bananas and love avocados.